Overview of the 2027 Pennsylvania Health Insurance Market

The Pennsylvania Insurance Department (PID) announced proposed rate filings for plan year 2027, driven by rising underlying health care costs, shifting market morbidity, and the ongoing structural impact of the expiration of enhanced federal Premium Tax Credits (eAPTC) at the end of December 2025.

Key Market Metrics (Plan Year 2027)

Market Segment	Weighted Average Requested Rate Change	Primary Drivers
Individual Market (Pennie / Off-Exchange)	+17.1%	Medical/pharmacy unit cost trends, post-eAPTC risk pool shifts, ongoing utilization changes
Small Group Market	+11.5%	Provider reimbursement updates, general claims experience

Major Carrier Requests & Variations (Individual Market)

Individual market rate adjustment requests vary significantly by carrier and across Pennsylvania's nine geographic rating areas:

- **Ambetter Health of Pennsylvania:** Proposing the highest average individual increase at **40.90%** (reflecting both a silver-to-silver average adjustment and structural changes, including the elimination of bronze-tier offerings).
- **Keystone Health Plan Central:** Requesting an average increase of **33.83%** (rating areas 6, 7, and 9), driven heavily by claims risk-adjustment factors and utilization trends.
- **UnitedHealthcare Insurance Company:** Requesting an average increase of **33.57%** across all nine rating areas.
- **Highmark Inc.:** Requesting an average increase of **16.16%** (rating areas 1, 2, 4, 5, 6, 7, and 9), with Highmark Benefits Group requesting **21.40%** in areas 3 and 8.
- **UPMC Health Plan Inc.:** Requesting an average increase of **15.54%** (rating areas 1, 2, 4, and 5).

Structural & Regulatory Shifts

- **Expiration of Enhanced Subsidies:** The expiration of the American Rescue Plan/Inflation Reduction Act enhanced subsidies on December 31, 2025, continues to drive down enrollment volumes and alter risk pool morbidity. Pennie data indicates that thousands of enrollees have dropped coverage due to doubled average net monthly premiums.
- **Immigration Eligibility Changes (H.R. 1):** Beginning January 1, 2027, Advance

Premium Tax Credits (APTC) and cost-sharing reductions (CSR) through the marketplace are restricted to lawful permanent residents (green card holders), Cuban/Haitian entrants, and COFA migrants, narrowing financial assistance eligibility.

- **Timeline:** The PID public comment period closed in August 2026. Final approved rates are slated for release ahead of Pennie's Open Enrollment period, which runs from **November 1, 2026, through January 15, 2027** (with a December 15 deadline for coverage effective January 1, 2027).